

	<i>American Home Products 1969</i>	<i>American Hospital Supply 1969</i>
Price, December 31, 1969	72	45½
Number of shares of common	52,300,000	33,600,000
Market value of common	\$3,800,000,000	\$1,516,000,000
Debt	11,000,000	18,000,000
Total capitalization at market	3,811,000,000	1,534,000,000
Book value per share	\$5.73	\$7.84
Sales	\$1,193,000,000	\$446,000,000
Net income	123,300,000	25,000,000
Earned per share, 1969	\$2.32	\$.77
Earned per share, 1964	1.37	.31
Earned per share, 1959	.92	.15
Current dividend rate	1.40	.24
Dividends since	1919	1947
Ratios:		
Price/earnings	31.0 ×	58.5 ×
Price/book value	1250.0%	575.0%
Dividend yield	1.9%	0.55%
Net/sales	10.7%	5.6%
Earnings/book value	41.0%	9.5%
Current assets/liabilities	2.6 ×	4.5 ×
Growth in per-share earnings		
1969 versus 1964	+75%	+142%
1969 versus 1959	+161%	+405%

CONCLUSIONS: Our clear-cut view would be that both companies were too “rich” at their current prices to be considered by the investor who decides to follow our ideas of conservative selection. This does not mean that the companies were lacking in promise. The trouble is, rather, that their price contained too much “promise” and not enough actual performance. For the two enterprises combined, the 1969 price reflected almost \$5 billion of good-will valuation. How many years of excellent future earnings would it take to “realize” that good-will factor in the form of dividends or tangible assets?

SHORT-TERM SEQUEL: At the end of 1969 the market evidently thought more highly of the earnings prospects of Hospital than of Home, since it gave the former almost twice the multiplier of the latter. As it happened the favored issue showed a microscopic *decline* in earnings in 1970, while Home turned in a respectable 8% gain. The market price of Hospital reacted significantly to this one-year disappointment. It sold at 32 in February 1971—a loss of about 30% from its 1969 close—while Home was quoted slightly above its corresponding level.*